

# Granules India Ltd — Earnings-Call Tracker

Ticker GRANULES (NSE) / BSE 532482 · Report date 4 July 2026 · Based on the 12 most recent earnings-call transcripts (Q1 FY24 → Q4 FY26, ~3 years)

## 1. Snapshot

**What the business does (in plain words):** Granules is a Hyderabad-based drug maker. It takes basic chemical inputs, makes the active drug powder (the "API", the actual medicine ingredient), turns that into a semi-finished blend ("PFI"), and increasingly into finished tablets and capsules ("Finished Dosages" or FD) that go straight to pharmacies. Its bread-and-butter products are big-volume generics — paracetamol (fever/pain), metformin (diabetes), ibuprofen — and it is now pushing hard into higher-value, harder-to-make medicines: ADHD/controlled-substance pills in the US, cancer (oncology) drugs, and, since 2025, peptide medicines (the class behind weight-loss/diabetes drugs). Roughly four-fifths of sales are to the United States.

| Figure (FY26, year to Mar 2026) | Value     | What it means in one line                                                                                                                                |
|---------------------------------|-----------|----------------------------------------------------------------------------------------------------------------------------------------------------------|
| Revenue (total sales)           | ₹5,366 cr | Total sales for the year — up about 20% from ₹4,482 cr last year; the first real growth after three flat years.                                          |
| Operating profit (EBITDA)       | ₹1,185 cr | Profit from running the business before interest, tax and wear-and-tear charges — up 25%; margin 22% of sales.                                           |
| Gross margin                    | ~65%      | Of every ₹100 of sales, ₹65 is left after raw-material cost — up from 50% four years ago, thanks to selling more finished tablets.                       |
| Net profit                      | ₹595 cr   | The final bottom-line profit after everything — up 19% from ₹502 cr.                                                                                     |
| Net debt                        | ₹402 cr   | Borrowings minus cash — slashed from ₹706 cr, helped by a ₹666 cr fresh equity raise; debt is now just 0.34× yearly operating profit (very comfortable). |
| Return on capital (ROCE)        | ~15–17%   | Profit earned on the money tied up in the business — decent but not stellar, held back by heavy spending on new plants.                                  |

Source: company snapshot CSVs (profit-and-loss, quarterly-results, ratios) + management's own figures on the Q4 FY26 call. Market capitalisation was not part of the snapshot data provided.

## 2. Concall coverage

Twelve consecutive quarterly earnings-call transcripts were read in full, oldest to newest — a clean ~3-year run with no gaps.

| Quarter | Call date   | Transcript read? |
|---------|-------------|------------------|
| Q1 FY24 | 09 Aug 2023 | Yes              |
| Q2 FY24 | 09 Nov 2023 | Yes              |
| Q3 FY24 | 23 Jan 2024 | Yes              |
| Q4 FY24 | 15 May 2024 | Yes              |
| Q1 FY25 | 30 Jul 2024 | Yes              |
| Q2 FY25 | 06 Nov 2024 | Yes              |
| Q3 FY25 | 24 Jan 2025 | Yes              |
| Q4 FY25 | 28 May 2025 | Yes              |
| Q1 FY26 | 12 Aug 2025 | Yes              |
| Q2 FY26 | 13 Nov 2025 | Yes              |
| Q3 FY26 | 23 Jan 2026 | Yes              |
| Q4 FY26 | 29 Apr 2026 | Yes (latest)     |

### ★ Latest concall highlights — Q4 FY26 (call 29 Apr 2026)

- **Best quarter yet, and the year finally grew.** Q4 sales ₹1,471 cr (up 23% on last year, 6th straight quarter of sequential growth); Q4 net profit ₹202 cr (up 33%). Full-year sales crossed ₹5,000 cr for the first time at ₹5,366 cr (up 20%) — a real breakout after three years stuck near ₹4,500 cr.
- **Margins at a record.** Q4 operating margin hit 23.9% and gross margin 65.7%; full-year gross margin 65% versus 50% four years ago — proof the "sell more finished tablets, fewer raw APIs" plan is working.

- **The FDA problem is close to a decision, not yet closed.** The US FDA warning letter on the Gagillapur plant (issued Feb 2025) is still open. Management met the FDA in Jan 2026, submitted all responses by Feb, finished remediation work by end-March, and says it is "ready for an audit any time" — but cannot predict when the FDA will re-inspect. 9 new US product approvals are stuck pending that clearance.
- **New peptide business turned profitable.** The acquired Swiss CDMO (Senn / Ascelis) delivered its first positive operating profit in Q4 and added ₹159 cr of sales in FY26 — a new "fourth pillar".
- **Balance sheet much stronger.** Net debt cut to ₹402 cr (0.34× profit) after a ₹666 cr equity raise. Management tone: confident and steady, but flagging genuine near-term uncertainty from rising raw-material and freight costs (Middle-East disruption) that they hope to pass on via price hikes.

### Business mix & capacity (quick-glance panel)

- **Domestic vs export:** Overwhelmingly an **exporter — roughly 90%+ of sales are overseas**. North America alone is ~79% of revenue and Europe ~15% (FY26); India/domestic and rest-of-world are a small slice. Plain read: this is essentially a US-facing company, so US regulatory and pricing news matters most.
- **Product mix:** Finished tablets/capsules (FD) are now **74% of revenue** (up from 50% three years ago); raw APIs + semi-finished PFIs are under 25% and mostly consumed in-house. "Complex" higher-barrier generics rose to ~49% of the formulation mix (from 27% a year earlier).
- **Capacity:** Main Gagillapur plant runs ~90% (was capacity-constrained during FDA remediation). The new Genome Valley (GLS) plant adds **10 billion doses — a 40% jump over the 26 billion at Gagillapur** — and got its first US FDA product approval in FY26. GLS was ~40–50% utilised in FY26, targeted for ~90% by end-FY27. Plain read: there is plenty of headroom to grow output, and a valuable second US-approved site now de-risks supply.

## 3. Earning-Trigger thesis ★

**The one thing management keeps saying will grow earnings:** a deliberate climb **up the value chain** — from selling cheap bulk drug powder to selling higher-margin finished tablets, and within tablets, shifting from commodity generics (paracetamol/metformin) toward **hard-to-copy, limited-competition products**: US controlled-substance/ADHD medicines, oncology (cancer) drugs, and now peptide (GLP-1 / weight-loss-class) manufacturing via the Swiss Senn acquisition. This is meant to lift margins and, crucially, break the company out of years of flat revenue. The FY26 numbers show it is now actually happening.

| Trigger                                                        | What management said                                                                  | Evidence so far                                                                                                                                                                | Time horizon          | Strength                            |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|-------------------------------------|
| <b>Shift to finished dosages &amp; complex generics</b>        | Move from APIs to FDs; grow the "beyond-legacy-5" and complex portfolio               | Delivered: FD 50%→74% of sales; gross margin 50%→65%; complex generics 27%→49% of mix                                                                                          | Now / ongoing         | <b>Strong</b>                       |
| <b>US controlled-substance / ADHD platform (GPI, Virginia)</b> | Become a leading US player in ADHD & controlled drugs; day-1 / first-to-file launches | Delivered & building: launched lisdexamfetamine, pantoprazole, metoprolol, oxycodone combos; GPI now 27th-largest US generic firm (74th in FY21), 4th in controlled substances | Now → 2–3 yrs         | <b>Strong</b>                       |
| <b>Genome Valley (GLS) new plant</b>                           | +10 billion doses (40% capacity jump); second US-approved source                      | Delivered (delayed): commissioned; first US FDA product approval FY26; ramping to ~90% by FY27                                                                                 | FY27 ramp             | <b>Moderate–Strong</b>              |
| <b>Peptide CDMO (Senn / Ascelis)</b>                           | Enter the \$130 bn peptide/ GLP-1 wave; profitable engine for the next decade         | Early proof: EBITDA-positive by Q4 FY26; ₹159 cr FY26 sales; India + Switzerland build-out underway                                                                            | FY27–FY28+            | <b>Moderate (unproven at scale)</b> |
| <b>Oncology pipeline (Unit V, Vizag)</b>                       | Significant global oncology player; first filings done                                | Too early: first ANDA filed FY25; revenue only expected from ~FY28                                                                                                             | FY28+                 | <b>Unproven</b>                     |
| <b>CZRO green chemistry (DCDA/PAP backward integration)</b>    | Originally a ~₹2,000 cr flagship to make metformin/paracetamol inputs in-house        | Shrunk & stalled: scaled down to a ~₹200 cr pilot, still not commercial after 3 years                                                                                          | Repeatedly pushed out | <b>Weak</b>                         |

## 4. Management Consistency scorecard

Did they do what they said, quarter after quarter? Verdict per row: **Delivered** / **Partly** / **Missed** / **Too-early** / **Dropped/Shrunk**.

| Period | What was promised | What actually happened | Verdict |
|--------|-------------------|------------------------|---------|
|--------|-------------------|------------------------|---------|

|             |                                                                              |                                                                                                                                                                                                       |                             |
|-------------|------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------|
| FY24 onward | Keep growing the finished-dosage share and lift margins                      | FD share 50%→74%; gross margin 50%→65%; done exactly as described, every quarter                                                                                                                      | Delivered                   |
| FY24→FY25   | Repeatedly: "we don't guide, but expect ~20% CAGR / growth"                  | Revenue was essentially flat for three years (FY23 ₹4,512 cr → FY25 ₹4,482 cr). Growth only arrived in FY26 (+20%)                                                                                    | Partly (late)               |
| FY24 (Q1)   | Recover from May-2023 ransomware/IT attack; lost sales >₹150 cr              | Recovered within ~2 quarters as promised                                                                                                                                                              | Delivered                   |
| FY24→FY26   | Paracetamol demand/price to bounce back "next year" (said each year)         | Stayed weak/eroded for ~3 years; only "building back up" with price erosion by Q3 FY26                                                                                                                | Missed (on timing)          |
| FY24→FY26   | New Genome Valley plant online; 8–10 bn doses added                          | Commissioned and FDA-approved, but each phase slipped 1–2 quarters vs original dates                                                                                                                  | Partly (delivered, delayed) |
| Aug 2024 →  | FDA Gagillapur issue: "confident, expect quick resolution / EIR by Dec 2024" | Went the other way — 483s → OAI → Warning Letter (Feb 2025) → still unresolved >1.5 yrs later. But management stayed unusually transparent and proactive (voluntary pause, 3,000+ clean test batches) | Too-early / Ongoing         |
| FY23 → FY26 | CZRO green chemistry: a ~₹2,000 cr flagship for self-reliance on key inputs  | Quietly shrunk to a ~₹200 cr pilot, repeatedly delayed, still not commercial                                                                                                                          | Dropped/ Shrunk             |
| FY25 (Q4) → | Senn/peptides to turn profitable by ~Q4 FY26                                 | Delivered — EBITDA-positive in Q4 FY26 exactly as flagged                                                                                                                                             | Delivered                   |

**Narrative drift:** The *core* story — climb the value chain, sell more complex finished dosages, lean on the US — has been remarkably steady and is now visibly delivering. But the edges have drifted: the once-headline ₹2,000 cr green-chemistry (CZRO) ambition has been quietly de-emphasised down to a pilot; the paracetamol "recovery next year" line was repeated for three years; three years of flat revenue sat under confident "20% growth" talk; and the Joint MD & CEO (Dr. K.V.S. Ram Rao), the public face of the R&D/transformation story on most of these calls, resigned in mid-FY26, with the Chairman stepping back into day-to-day control. Tone throughout has been confident but, importantly, honest and non-defensive — especially on the FDA trouble, where they consistently under-promised and disclosed openly.

## 5. Bottom line — two verdicts

### Durable earning trigger? → YES

There is a clear, concrete, still-live driver and it is now visibly playing out — not a promise. The value-chain climb into complex, limited-competition US medicines has taken gross margin from 50% to 65%, finished-dosage share from 50% to 74%, and finally broken the revenue logjam (FY26 +20%, EBITDA +25%, net profit +19%), while debt was cut to a trivial 0.34× profit. GPI's rise to the 27th-largest US generic firm and 4th in controlled substances is hard external evidence. Peptides add a credible new leg, and the newly FDA-approved Genome Valley plant gives real capacity headroom. The main live risk (the unresolved Gagillapur warning letter) constrains upside but has not derailed the engine.

### Management consistent? → MAYBE

The central strategy has been steady and, in FY26, genuinely delivered — that earns real credit, and management's transparency (especially through the FDA crisis) is a plus. But this is not a clean "Yes": revenue was flat for three straight years while the "20% growth" refrain kept coming; the paracetamol "recovery next year" call was wrong three years running; the flagship ₹2,000 cr green-chemistry project was quietly shrunk to a pilot and still isn't commercial; and the CEO who narrated the transformation story departed mid-cycle. The record is a mix of solid delivery on the core and repeated slippage/drift on side-bets and timelines — which is exactly the definition of MAYBE. The FY26 breakout, if it holds through FY27, would move this toward Yes.

Prepared from Granules India's own earnings-call transcripts (Screener.in) and snapshot financial CSVs. Figures rounded; "cr" = crore (10 million). Forward-looking statements are management's own and not guarantees. This is an information summary, not investment advice.